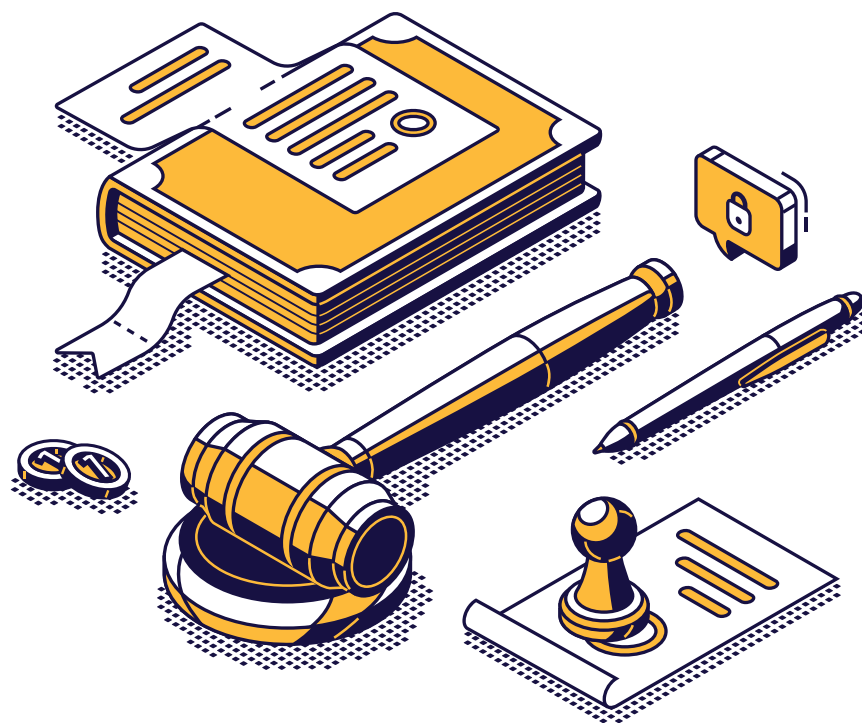




THE FIRST INSTANCE

IN 1876, THE PRIVY COUNCIL, IN ITS DECISION IN RAM COOMAR COONDOO V. CHUNDER CANTO MOOKERJEE, PERMITTED THIRD-PARTY LITIGATION FUNDING FOR THE FIRST TIME. THE SUPREME COURT'S LANDMARK RULING IN BAR COUNCIL OF INDIA V. A.K. BALAJI (2018), AGAIN SET A PRECEDENT BY STATING THAT LITIGATION FUNDING IS NOT PER SE ILLEGAL, PROVIDED IT DOESN'T VIOLATE ANY OTHER APPLICABLE LAWS

and that is what differentiates us from the others,” says Jain, who launched his venture in September 2021 and claims to have received over 400 enquiries till date.

How does this work? When a case comes to a start-up, it starts the due diligence to study it thoroughly and, if convinced that there is potential, decides to provide the funding at a pre-decided percentage of the claim amount. While most start-ups follow this model, in some cases—depending on the potential quantum of claim—they may also seal the deal on a fixed amount. But a start-up doesn't make any money if the claimant it is funding loses a case.

Given their area of operations, most start-ups have tie-ups with lawyers or law firms but the entity has the freedom to get their own lawyer. The start-up, apart from funding, provides strategic inputs based on its analytical tools.

Sumit Agrawal, Founder of Reg-street Law Advisors, says that even as the scope of litigation financing is limited in India as of now, it is fast emerging as a trend in the legal arena. “Litigation financing can be an alternative to litigation insurance to some extent, as both serve to mitigate the financial risk of pursuing a claim. However, litigation financing provides financing for a specific case or cases, while litigation insurance is a form of indemnity insurance that covers the cost of legal disputes in general,” explains Agrawal, a former legal officer of capital markets regulator Securities and Exchange Board of India (Sebi).

Chhawchharia says there is scope for other funding opportunities like pre-settlement financing, lawyer fees, and post-settlement funding. Incidentally, under litigation financing, lawyers are paid their regular fees by third-party entities; the lawyers do not charge a

percentage of the damages as fees, as it is barred by law in India.

FOLLOW THE MONEY

Let's talk money. These start-ups are funding people to fight cases, but who is funding them? In India, the investor is typically a high net-worth individual or family office from whom the start-ups raise funds to create a fund to finance litigations. The prize: a percentage of the start-up's claims under management; for instance, the entities that have taken funding from FIGHTRIGHT have cumulatively claimed damages or compensation totalling ₹300 crore. The start-up makes money on every case where the party it funds wins—it takes a cut in the range of 15-25 per cent from the final claim amount. To increase its chances of winning, the start-up funds only commercial litigations involving either land, property or money—these make up almost two-thirds of all outstanding